

Multiple Choice

1. **Answer:** E

Options: A) 27.5%; B) 21%; C) 22.5%; D) 30%; E) 24.17%

Note: The correct answer is 24.17% because the percent markup based on the selling price is calculated by taking the difference between the selling price and the cost ($180 - 136.50 = 43.50$), *dividing that by the selling price* ($43.50 / \$180$), and then multiplying by 100 to convert it to a percentage, resulting in approximately 24.17%.

2. **Answer:** C

Options: A) \$64.12; B) \$83.69; C) \$76.41; D) \$68.24; E) \$74.58

Note: The correct answer is 76.41 *because the property tax is calculated by multiplying the assessed value* by the tax rate of 2.351%, resulting in $3,250 \times 0.02351 = 76.41$.

3. **Answer:** A

Options: A) May 15; B) April 15; C) July 14; D) April 14; E) April 13

Note: The correct answer is May 15 because a 60-day note starting from March 15 adds 60 days to that date, resulting in a maturity date of May 15.

4. **Answer:** C

Options: A) Economic, emerging, and evolutionary; B) Evolutionary, experimental, and economic; C) Ecological, equitable, and economic; D) Equitable, evolutionary, and emerging; E) Evolutionary, equitable, and economic.

Note: The correct answer, "Ecological, equitable, and economic," emphasizes the importance of sustainable practices that balance environmental health, social equity, and economic growth, thereby promoting long-term development over short-term gains.

5. **Answer:** E

Options: A) April 15; B) April 13; C) April 18; D) May 15; E) April 16

Note: The loan, made on December 17, is due 120 days later, which calculates to April 16, considering the non-leap year days in each month.

True / False

6. **Answer:** False

Options: A) True; B) False

Note: A durable product is typically a high-involvement purchase that requires significant consumer research due to its longevity, higher cost, and impact on the buyer's lifestyle.

7. **Answer:** False

Options: A) True; B) False

Note: Jack's commission of 5% on 1,200 results in earnings of 60 for the week, not 120, as 5

7. **Answer:** False

Options: A) True; B) False

Note: The proceeds from a discounted note are calculated by deducting the discount amount from the face value, and with a 3-month note of 850 at a 6

7. **Answer:** True

Options: A) True; B) False

Note: Role culture is true because it emphasizes a structured environment where specific roles and responsibilities are established, leading to clear expectations and efficient operations within the organization.

8. **Answer:** False

Options: A) True; B) False

Note: The statement is false because services are characterized by intangibility, perishability, variability, inseparability, and a lack of ownership, while tangibility is a defining feature of physical goods rather than services.

Long Form Response

11. **Answer:** Social consensus, temporal immediacy, and proximity are critical factors that shape moral intensity in business decision-making. Social consensus refers to the degree of agreement among stakeholders about what is considered morally acceptable; for instance, a company may hesitate to pursue questionable labor practices if there is a strong community belief against such actions, thereby increasing moral intensity. Temporal immediacy relates to the time frame in which consequences will occur, as decisions with immediate repercussions, such as a product recall, often elicit a stronger moral response than those with delayed effects. Proximity encompasses the closeness of decision-makers to the stakeholders affected by their choices; for example, a manager may feel a heightened moral obligation to act ethically when the consequences directly impact their employees. Together, these factors influence how business leaders evaluate the ethical implications of their decisions, often resulting in a more profound commitment to ethical practices when consensus is strong, consequences are immediate, and proximity to affected parties is high.

Note: correct because it effectively identifies and elaborates on the key factors-social consensus, temporal immediacy, and proximity-that influence moral intensity in business decisions, illustrating their impact with relevant examples that demonstrate their significance in shaping ethical considerations.

12. **Answer:** To analyze the effectiveness of the discount series 30-10-2(1/2)% compared to 25-15-2%, we first need to calculate the net price after applying each series of discounts to a hypothetical item priced at 100. For the series 30 - 10 - 2(1/2)

Note: correct because it accurately calculates the final net prices of both discount series on a hypothetical \$100 by - step breakdown of the discount application process.

End of Answer Key